

successful trading business for a decade, we’ve probably built up quite a bit of overhead costs and it’s not exactly like that’s just clean profits.

There’s an old expression in the businesses, one which used to be a lot truer than it is today. We used to say that there is no such thing as a third bad year for a hedge fund. The point being that after two bad years, you’re done. Investors pull their money and your fund is closed. That’s not necessarily true any more and it’s really up to marketing, investor relations and expectation management. Still, you’re in a really bad spot here at the start of 2014 and you’re probably considering giving up.

The bull market is still here and we’re still very much long stock market indexes. The large allocation we had a year ago to the rates sector is now nearly completely gone, and overall we’re running a mixed and not terribly aggressive portfolio (Tables 6.49 and 6.50, and Figure 6.74). This is it, if we fail this year, it would be exceedingly difficult to continue operations.

TABLE 6.49 Initial portfolio 2014		
Market	Direction	Sector
Feeder Cattle	Long	Agriculture
Canola	Short	Agriculture
Soybean Oil	Short	Agriculture
KC HRW Wheat	Short	Agriculture
Soybean Meal	Long	Agriculture
White Sugar	Short	Agriculture
Sugar No. 11	Short	Agriculture
Corn	Short	Agriculture
Coffee C	Short	Agriculture
Cocoa	Long	Agriculture
Live Cattle	Long	Agriculture
British Pound	Long	Currencies
Japanese Yen	Short	Currencies
Swiss Franc	Long	Currencies
Canadian Dollar	Short	Currencies
FTSE 100	Long	Equities
DAX	Long	Equities
EURO STOXX 50	Long	Equities
S&P/TSX 60 Index	Long	Equities
E-mini S&P 500	Long	Equities
E-mini Nasdaq-100	Long	Equities